

FIRST INFORMATION REPORT

(Under Section 173 BNSS)

1. District: Delhi PS: BS&FB Delhi
Year: 2024
FIR No: RC0742024E0003 Date: 19/11/2024

2. Acts & Sections:

Acts	Sections	R/W Section
IPC	120B r/w 420	406
PC Act-1988	13(2) r/w 13(1)(d)	

3. Suspected offences: Bank Fraud
(a) Occurrence of offence:
Day: Time Period:
From Date: 2010 To Date: 2015
(b) Information Received at PS: CBI BSFB New Delhi
Date: 14/10/2024
(c) General Diary Reference:
Entry No.: 06
Date: 19/11/2024 Time: 11:33:38

4. Type of Information: Written

5. Place of Occurrence: Noida and Gautam Buddha Nagar

(a) Direction & distance from PS:

Beat No.:

(b) Address:

Plot No.: Punjab National Bank, Circle Shashtra Area:
Noida, SH-12, Pin:
City: District:
State:

(c) In case, outside the limit of this Police Station, then

Name of PS: District:

6. Complainant / Informant:

Complainant 1

(a) Name: Mr. Subhash Chandra Jatav
(b) Father's/Husband's Name: Narayan Singh
(c) Date/Year of Birth:
(d) Nationality: INDIAN
(e) Passport:

Passport No.	Date Of Issue	Place Of Issue
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(f) Occupation: Chief Manager

(g) Address:

Plot No	Area	City	State	District	Pin
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7. Details of known/suspected/unknown accused with full particulars:

Accused 1**Name:** M/s Supreme Alloys Ltd.(01)**Address:**B-7, WHS, Kirti Nagar, New Delhi, West Delhi, NCT Of Delhi, 110015
RMD II (Dujana), Unit 575-576, Dujana Road, Gautam Budha Nagar, Gautam Buddha Nagar, Uttar Pradesh**Accused 2****Name:** Mr.Jagjiv Kumar Arora(02), **Father/Husband name:** Mohinder Lal Arora**Address:**

KF-16, Kavi Nagar, Ghaziabad, Ghaziabad, Uttar Pradesh, 201002

Accused 3**Name:** Mr.Sahil Arora(03), **Father/Husband name:** Jagjiv Kumar Arora**Address:**

KF-16, Kavi Nagar, Ghaziabad, Ghaziabad, Uttar Pradesh, 201002

Accused 4**Name:** Unknown Public Servant(s) & Private Person(s)**Address:**

Punjab National Bank, Circle Shashtra Noida, SH-12, Gamma Shopping Centre, Greater Noida, Gautam Buddha Nagar, Uttar Pradesh

8. Reasons for delay in reporting by the complainant/informant:

No delay.

9. Particulars of properties stolen:

Item Name	Age of Property	Estimated Value (in INR)
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10. Total value of property stolen:**11. Inquest Report/U.D. Case No., if any:****12. First information contents:**

The said complaint was received from Mr. Subhash Chandra Jatav, Chief Manager, Circle Shashtra Noida, Punjab National Bank, against M/s Supreme Alloys Ltd., (hereinafter referred to as Borrower Company or M/s. SAL) its directors, guarantors and unknown private persons and unknown officials of Punjab National Bank, alleging for commission of Criminal Breach of Trust, Cheating, and misappropriation of funds. Further, it is alleged that suspect company and persons have siphoned off the loan funds to their related/ allied companies, thereby caused wrongful loss of Rs. 74.64 Crore to Punjab National Bank and corresponding wrongful gain to themselves.

The complaint attached herewith as Annexure discloses commission of offences punishable u/s 120-B r/w 406 and 420 of IPC and Section 13(2) r/w 13(1)(d) of PC Act, 1988 and substantive offences thereof by the above named accused persons, therefore, a regular case is registered and investigation is entrusted to Shri Harshoullas, DSP, CBI, BSFB, New Delhi.

13. Action taken : Since the above information reveals commission of offence(s) u/s as mentioned at Item No.2:**(1) Registered the case and took up the investigation:**

Yes

OR

(2) Directed**Name of IO:**

Harshoullas

Rank:

DY. SUPDT. OF POLICE (BS&FB Delhi)

No:

150681

to take the investigation

OR

(3) Refused investigation due to:

OR

(4) Transferred To PS:

on point of jurisdiction.

District:**Attached documents:****Document name**

M/s Supreme Alloys Ltd.

FIR read over to the complainant/informant, admitted to be correctly recorded and a copy given to the complainant / informant, free of cost.

R.O.A.C.

14. Signature/Thumb Impression of the complainant/informant

Signature of Officer In-charge Police Station

Name: Swapnil Agrawal

SUPDT. OF

Rank: POLICE (BS&FB Delhi)

15. Date and time of dispatch to the Court:

Digitally signed by SWAPNIL AGRAWAL

Date: 2024.11.19 11:44:24 IST

Reason:

Location:

SECRET



CENTRAL BUREAU OF INVESTIGATION

Bank Complaint Cell

5th Floor, CBI Head Quarters,
5-B, CGO Complex, Lodhi Road,
New Delhi - 110003

Sub:- Forwarding of Bank fraud complaint received from Punjab National Bank against M/s Supreme Alloys Ltd., Regd. Office: at B-7, WHS, Kirti Nagar, New Delhi involving amount of Rs 74.64 Crores - reg.

Please refer to Policy Division OM No. 21 / 24 / 2015 / 3169 dated 18.09.2019.

2. Pursuant to the aforesaid OM dated 18.09.2019, HoZ, BSFZ, New Delhi has assigned the subject complaint to HoB, CBI, BSFB, New Delhi.
3. Accordingly, please find enclosed herewith bank complaint dated 04.09.2024 in original received from Shri Subhash Chandra Jatav, Chief Manager, Punjab National Bank, Greater Noida vide letter dated 04.09.2024 against M/s Supreme Alloys Ltd., Regd. Office: at B-7, WHS, Kirti Nagar, New Delhi for taking further necessary action at your end.
4. It may please be noted that allegations against 'Unknown Public Servant' are mentioned in the instant complaint.
5. BCC, CBI, New Delhi has not conducted any enquiry in this matter.

[Signature]
Head of Zone
CBI, BSFZ, New Delhi

Encl: (As above)

HoB / CBI / BSFB / New Delhi

CBI ID No. 4517 / BCC / 2024 / E / 0342

Dated 08 / 10 / 2024

Copy to:-

- i. The JD (P), CBI, CGO Complex, New Delhi for kind information please.
- ii. The HoZ, CBI, BSF Zone, New Delhi for kind information please.
- iii. The CVO, Punjab National Bank for information please.
- iv. Branch Head, Punjab National Bank, Greater Noida for information please

[Handwritten]
SP (complaints)

[Handwritten]
DY No - 1468-SP-SA
10/10/24

Dy. No. 2379 / HOB/CBI

BSFB/N. Delhi

Dated 9/10/24



ਪੰਜਾਬ ਨੈਸ਼ਨਲ ਬੈਂਕ



punjab national bank

CIRCLE SASTRA NOIDA, SH-12, GAMMA SHOPPING CENTRE, GAMMA -1,
GREATER NOIDA U.P. MAIL ID: cs8290@pnb.co.in

Dy.No. 1529

BP/Bank Complaint Cell, Dated: 04/09/2024

Date: 10.09.2024

The Joint Director(Policy)
CBI Headquarters
Central Bureau of Investigation
New Delhi

Dear Sir,

Subject: - Request for registration of FIR and further investigation against the following persons for the offence of Cheating, Criminal breach of Trust, Criminal Misappropriation of property, diversion/siphoning of funds etc. in the account of M/s Supreme Alloys Ltd.

(1), M/s. Supreme Alloys Limited, Registered Office at B-7, WHS, Kirti Nagar, New Delhi-110015 also at; M/s. Supreme Alloys Limited Works: RMD II (Dujana), Unit 575-576 Dujana Road, Gautam Budh Nagar, U.P.,

(2). Mr. Jagjiv Kumar Arora, S/o. Mr. Mohinder Lal Arora

R/o residents of KF- 16, Kavi Nagar, Ghaziabad-201002

(3) Mr. Sahil Arora S/o. Mr. Jagjiv Kumar Arora

R/o of KF-16, Kavi Nagar, Ghaziabad-201002 and

(4) Unknown public servants

I, Subhash Chandra Jatav S/o Shri Narayan Singh Working at SH-12 1st Floor Gamma-1 Greater Noida presently posted as Circle Sastra Noida and is fully conversant with the facts stated hereunder and duly authorized to the present complaint against the persons namely:

1. That the Accused No. 1 Company i.e. M/s Supreme Alloys Limited, is a company within the meaning of the Companies Act, 1956 having its Registered Office

at B-7, WHS, Kirti Nagar, New Delhi-110015 and was engaged in manufacturing of steel ingots, TM (thermo mechanically treated) bar, & drawn wire, while Sh. Jagjiv Kumar Arora (Accused No. 2) is the Managing Director and Sh. Sahil Arora (Accused No. 3) is the Director of the Accused No. 1 Company.

2. The accused No. 2, and 3 being directors of the accused No. 1 company approached the Bank Branch Sector 18, Noida and presented financials and projection of the company to the Bank and sought financial assistance and caused the bank to believe that with the said loan limit the business of the firm would grow and requested for grant of credit facilities for working capital limits for running business of manufacturing sale & purchase of items of Iron & Steel products and for purchase of properties comprising land measuring 43241 sq yds. at Khasra no. 64, 575, 576, 577, 66, 569, 574, 573, 65, 58, 571, 570 & 53 at village Bishnauli, Dadri, Distt- Gautam Budha Nagar (Uttar Pradesh).

3. On the basis of the representations of the accused company the complainant Bank in good faith extended /sanctioned the credit facilities to the tune of Rs. 34.00 cr by way of CC (Hyp), CC (BD), ILC/BG of Rs 10.00 cr, Rs 5.00 cr and Rs 5.00 cr respectively with ceiling limit of Rs 10.00 cr and Term Loan of Rs 24.00 cr for its above mentioned business. Pursuant to the request of the accused, the Complainant Bank sanctioned credit facilities of Rs. 34.00 crore vide sanction letter dated 23.09.10. To avail the credit facilities sanctioned by the bank, accused No. 2 & 3 executed the loaning and security documents.



4. That Accused No. 2 & 3 along with have also stood as Guarantors to the liability of Accused No.1 Company in respect of the credit facilities sanctioned to Accused No.1 by the bank. Further to secure the said loan facilities, the accused No 2 & 3, having been authorized by the accused No. 1 created bank's charge on stock of the company and mortgaged properties comprising land measuring 43241 sq yds. at Khasra no. 64, 575, 576, 577, 66, 569, 574, 573, 65, 58, 571, 570 & 53 at village Bishnauli, Dadri, Distt- Gautam Budha Nagar (Uttar Pradesh) by deposit of their titled deeds No. 12388 dated 04.11.2010, Khand no. 2984, Book No. 1 at pages 1/1934 registered with the Sub Registrar.

5. That on the requests of the accused dated 04.08.2011, 01.12.2011, 04.12.2012 the Credit facilities were enhanced from time to time on 04.08.2011, 01.12.2011 & 04.12.2012. Last enhancement made by Complainant Bank vide letter dated 04.12.2012 was as follows:-

1. Term Loan Rs. 24.00 Crores
2. CC Limit Rs. 33.00 Crores (enhanced from 25.00 Cr to Rs. 33.00 Cr)
3. BG Limit Rs. 2.00 Crores (Fresh limit)

6. That in consideration of the sanction of above said Credit facility Accused No. 2 & 3 having been authorized by accused No. 1, executed the following loaning and security documents on 04.12.2012:

1	Letter of continuity dated 04.12.2012
2	Hypothecation of goods and book Debts to secure cash credit facility dated 04.12.2012 of Rs 33.00 Crores executed and signed by the defendant no. 3
3	Agreement for Hypothecation of current assets executed and signed by the defendant no. 1
4	Hypothecation of movable assets forming part of fixed/block assets dated 04.12.2012 was executed and signed by the defendant no. 1



5	Agreement regarding cheques bill dated 04.12.2012 executed and signed by the defendant no. 1
6	General Counter Indemnity dated 04.12.2012 was executed and signed by the defendant no. 1

7. That Accused No. 2 & 3 also continued to stand as guarantors to the liability of Accused No.1 Company in respect of the enhanced credit facilities sanctioned to the Accused No.1. They executed agreement of guarantee on 04.12.2012.

8. That Sh. Jagjiv Kumar Arora & Sahil Arora (Accused No. 2 & 3 respectively) having been authorized by the accused No. 1, executed letter of continuity of the mortgage of the properties already mortgaged with the complainant bank on 04.12.2012 to secure the enhanced credit facilities allowed to Accused No.1 by the Complainant Bank.

9. That Sh. Jagjiv Kumar Arora (the Accused No. 2) being authorized signatory of defendant No. 1 also executed balance Security Confirmation Letter dated 17.09.2013 thereby confirming and acknowledging the debt.

10. That Sh. Jagjiv Kumar Arora & Sahil Arora (Accused No. 2 & 3 respectively) being authorized directors of Accused No.1 again approached the Complainant Bank for restructuring the financial facilities in terms of Master Restructuring Agreement with the following proposal :-

- a) Renewal Cum restructuring of WC limits by carving out WCTL
- b) Review cum Restructuring of existing term Loan
- c) Approval of FITL of Rs. 10.02 Crores for funding interest on working Capital Limit, Term Loan, WCTL for 18 months i.e.. from 1st Oct 2013 (cut off date)



11. That on the above request, the Complainant Bank vide Restructuring Sanction dated 29.03.2014 agreed to restructure the Financial Facilities in terms of Master Restructuring Agreement dated 31.03.2013. The facilities which was existing and which was proposed vide sanction letter dated 29.03.2014 was as under:-

(Amount in crores)

Nature	Existing	Proposed
Fund Based Ceiling (CC)	38.00 (33.00 +5.00*)	16.51
Non Fund Based Ceiling (Bank Guarantee)	2.00	2.00
Term Loan	16.30	16.30
WCTL	-	21.49
FITL	-	10.02
Total Term Loan	16.30	47.81
TOTAL COMMITMENT	56.30	66.32

12. That in consideration of the sanction of above said Loan facility Accused No. 2 & 3, having been authorized, executed the following loaning and security documents on 31.03.2014

1	Agreement of Master joint lenders Forum dated 30.05.2014 executed and signed by Syndicate Bank and Punjab National Bank
2	Agreement of deed of hypothecation executed and signed by M/s Supreme Alloys Limited (Accused No.1) dated 31.3.2014.
3	Agreement of master restructuring executed and signed by M/s. Supreme Alloys Limited (Accused No.1) dated 31.03.2014.
4	Undertaking executed and signed by Accused No. 1 dated 31.03.2014
5	Promoters undertaking executed and signed by Accused No. 1 dated 31.03.2014

13. That Accused No. 2, 3 also continued to stand as guarantors to the liability of Accused No.1 Company in respect of the enhanced credit facilities sanctioned to the Accused No.1. They executed agreement of guarantee on 31.03.2014.

14. That Sh. Jagjiv Kumar Arora & Sahil Arora (Accused No. 2 & 3 respectively) having been authorized by the accused No. 1, executed letter of continuity of the



mortgage of the properties already mortgaged with the complainant bank on 31.03.2014 to secure the restructured credit facilities allowed to Accused No.1 by the Complainant Bank.

15. That Accused No.1 had executed agreement of hypothecation dated 31.03.2014 and thereby agreed with the Bank that they will not dispose of hypothecated goods without prior permission of the Bank and route the sale proceeds through the account.

16. That the Complainant Bank had on 13.10.2010 further extended an amount of Rs.1.01 Crore by way of disbursement from the term loan account on the request of the borrowing Company within the sanctioned limit to be paid to M/s TS Ispat for making purchase of machinery costing Rs 4.01 Crore as the company informed that they have already made payment of Rs 3.00 Crore to firm. That the borrower company had dishonestly without informing the Bank has received back the amount without making purchase of the machinery and the cheques shown as the advance payment made were actually issued in favour of allied firm M/S Indian Exchange of Metal Limited, Registered Office at B-7, WHS, Kirti Nagar, New Delhi-110015 (wherein Sri Jagjiv Kumar Arora is a Director) . Thus, the total amount was siphoned off. All page 201

17. That before mortgaging the above mentioned property the Accused No.1 to 3 had approached the Complainant Bank and had stated before the officials of the Complainant Bank branch that the above mentioned land, building and machinery bearing Khasra no. 64, 575, 576, 577, 66, 569, 574, 573, 65, 58, 571, 570 & 53 at



Village Bisnooli & Acheja, Dujana Road, Near Dadri, Distt. Gautam Budh Nagar cost Rs. 25.51 and the Accused have made advance payment of Rs. 6.40 Crore). Therefore, the Complainant Bank disbursed Rs. 19.11 Crore for purchase of factory land, building and machinery from M/s. Invent Securitization & Reconstruction Company Pvt. Ltd. having its office at 7, Raheja Centre, Nariman Point, Mumbai who was assignee of J & K Bank Ltd.

18. That further borrower / Directors/guarantors named above were fully aware that the original owners of the Factory i.e. M/s Golden Rathi Star Industries Ltd. had instituted case (SA 228 of 2009) before the Tribunal -III New Delhi for setting aside the sale. That the said Directors of the borrower company deliberately concealed the fact about the pendency of the case before the Hon'ble Tribunal from the Complainant Bank and the Hon'ble Tribunal eventually set aside the sale of the factory land and building along with plant and machinery. That the said Directors deliberately with malafide intentions did not inform about the Judgment passed by the Tribunal. That the said Directors further kept hiding about the two appeals as against the Judgment of the Tribunal, New Delhi out of which one was instituted by Directors of M/S Supreme Alloys Ltd. and the other appeal was filed by J & K Bank Ltd. before the Appellate Tribunal at Delhi.

19. That many points were raised in the appeal and amongst others the point of reserve price of the factory was raised. The reserve price was illegally slashed down by one half within a period of eight months from the assessed value of the factory at Rs. 35, 70, 68,000/- and the same was got revalued by the J & K Bank Ltd. at Rs. 19.50 Crore. That J & K Bank Ltd. executed agreement for assignment on 04.10.2010 in favour of M/s Invent Securitization & Reconstruction Ltd. and



was witnessed by one of the Directors of M/s Supreme Alloys Ltd. and the assignee sold the said Factory Land and Building by private Treaty to M/s Supreme Alloys Ltd. within a period of 15 days from execution of assignment agreement i.e. on 19.10.2010 and the assignment agreement was later on corrected on 03.11.2010. That plea of fraud was raised. The Complainant Bank i.e. Punjab National Bank before extension of Loan also got the property valued and the same was assessed at Rs.55.00 Crore. The Hon'ble Appellate Tribunal has held that besides violations of statutory and mandatory provisions contained in the rules of SARFAESI Act 2002, there are large numbers of very uncomfortable circumstances staring directly at Appellants (including M/s Supreme Alloys Ltd.) in the case to vitiate sale not only on account of violations of rules but also on account of circumstances which the appellants are unable to explain are justified.

20. That the borrower company availed Cash Credit Limit of Rs.33.00 Crore concealing the facts about the pendency of the cases and fully knowing well that the case / appeals was going to be decided as against it. The borrowers/ accused have cheated the Bank by dishonestly inducing to extend huge loan amounts. That the borrower/ accused have cheated the Bank with a knowledge that a wrongful loss may ensue to the Bank and the cheating relates to legal contract between the borrower/ accused and the Bank. That the borrower has deposited the Sale Certificate of the factory with the Complainant Bank & created E.M. in favour of the Bank as security for the loan extended. In view of the judgment of Appellate Tribunal, the sale has been set aside, thus the E.M. has become nullify and security furnished is ipso facto non-entity as a result of dishonest intentions of said Director.



21. That the borrowers kept on approaching the Complainant Bank for extending working capital Limit To Rs. 25.00 Crore on 06.08.2011 from Rs 10.00 Crore and to Rs 33.00 Crore from Rs. 25.00 Crore on 04.12.2012 which was extended to the said borrower/ company.

22. That it is clear from the Cash Credit Account that the amounts from the sanctioned limits has continuously been withdrawn from the Cash Credit Account favouring a number of Units which apparently seem to be dealing with the activity not relating to the activity of borrowing Unit that from number of entries it seems that Bank funds have been diverted to the effect of i.e. Rs.17.24 Crore approximately. Those funds have been transferred to allied and associate companies.

23. That the accounts of the stated company were running highly irregular since the year 2013 and the factory was also not functioning since that year. That the Bank officials contacted the above stated borrower and brought to the knowledge of its Directors stated above that Hypothecated Goods and Book Debts have depleted and the borrower has illegally not deposited the sale proceeds and the amounts of the Book Debts recovered in the account with the Bank. That the credit limit enhanced was not utilized for the purpose it was enhanced and M/s Supreme Alloys Ltd. has taken undue advantage and they had put the Bank to huge monetary loss. The account of the borrower was classified NPA on 10th march 2015 with a total outstanding of Rs 65,49,21,501.62 and accordingly the Borrower was requested to repay the loan amount in full.

24. That it was learnt that the accused no. 1 company was already put on provisional liquidation vide order dt. 23.02.2016 of Hon'ble High Court, Delhi in Company Petition



No. 587/2014 titled "M/S Sharda Ma Enterprises Pvt Ltd Vs Supreme alloys Ltd". We obtained a copy of the order dt. 23.02.2016 of Hon'ble High Court, Delhi and it came to our notice that M/S Sharda Ma Enterprises Pvt Ltd had instituted the petition for recovery of a sum of Rs. 24,77,249.16 against coal supplied to the Accused Company and the case was proceeded by the Hon'ble High Court and provisional liquidator was appointed as the accused persons had not entered appearance and contested the case before the Hon'ble Court. It shows that the Accused Company has intentionally got the petition filed for the default of the small claim against the huge loan amount having already siphoned off from Punjab National Bank, with the ulterior motive of safely exiting after defrauding huge amount from Punjab National Bank.

25. That since the primary security is missing and the borrower has liquidated stocks without depositing sale proceeds in his cash credit account with the Bank, an offence of fraud, criminal breach of trust and criminal misappropriation has been committed. From the statement of account, it's apparent that by way of 21 debit entries, a sum of Rs.9.71 Crore approx has been transferred to M/S Globe Commodities and to M/s Tripple -S Stock who are broker of stock, share & commodities Trading. In continuation, by way of 50 debit entries, a sum of Rs.6.21 Cores approx. has been transferred to Allied & Associates Cos i.e. M/s Indian Exchange of Metals and M/S SAL International Ltd. In additions, by way of 8 entries, a sum of Rs.1.32 Cores approx. has been transferred to such companies who were not engaged in the line of business of the borrowing unit i.e. M/s Invent Assets & M/s Supreme Electro cast Co.

26. That it is submitted that the Bank conducted exercise for restructure of branches in the year 2018 and all the loan accounts above Rs. 50.00 crores were to be



transferred to Systemically Important status Branches (hereinafter referred as SIB). As such the loan accounts of the Accused Company were transferred to BO: MCB, Sector 63, Noida (having SIB Status) from BO: Sector 18, Noida on 19.07.2018.

27. In view of the guidelines contained in Ministry of finance, Deptt of Financial services letter no. F.No. 4/5/2014-Vig. Dated 13.05.2015, Forensic Audit was necessitated for filing of complaint by Banks to CBI in fraud cases. As such Bank assigned forensic audit in the account to M/s Satya Prakash Mangal & Co., Chartered Accountants, who have submitted the Forensic Audit Report. In its detailed report, the Forensic Auditor has summarised findings/inferences as under:

- *There was no cooperation from the partners/management of the borrower company for the concerned audit. Analysis was limited only to the extent of data/information provided by the Punjab National Bank. No documents/information was received from the Borrower for the analysis. Further due to non-cooperation of Borrower Company no personal meetings, telephonic conversation with partners/management, visit of debtors and creditors of the borrower was done.*
- *The borrower company has not complied with the terms of sanction in relation to submission of Stock Statement & Statement of book debts duly certified by a Chartered Accountant on monthly basis. Moreover the borrower has defaulted in submission of their monthly stock statements/book debts statements from December '13 onwards. Actual QIS/QMS forms was not submitted by the borrower company during audit period. The borrower has also not submitted Audited financial statements for the FY 2014-15 onwards.*
- *On the analysis the stock statements, company reported total turnover of RMD-II unit was Rs.20699.03 lacs and Rs.15401.09 lacs for the financial year 2011-12 & FY 2012-13. It has been decreased by 25.60% as compared to previous year whereas turnover of Supreme Alloys Ltd (all units) is decreased by only 1% for the same period.*
- *Company has reported vital portion of outstanding balances of debtors (approx. 99%) in less than 90 days outstanding balance during audit period.*
- *It has been analysed from stock statements that the Borrower Company has transacted with more than 500 debtor parties during audit period while number of debtors consist major outstanding balances has been reduced on yearly basis.*



- Company has submitted two stock statements viz as on 30.03.2012 and 31.03.2012. Further company has reported Rs. 1577.74 lacs increase in total outstanding balance of 57 individual debtors in 1 day (on 31st March '12) despite of figures of turnover reported in both stock statement are unchanged, while total turnover reported in stock statement is Rs. 1988.97 lacs for the month of March '12.
- Moreover decrease in total outstanding balance of 61 individual debtors (other than above debtors) is Rs. 1821.75 lacs on the same day, while realisation of only Rs. 33.18 lacs received in bank on 31.03.2012.
- Further company has submitted two stock statements dated 16.04.2012 and 30.04.2012, it reveals that total outstanding balance of 40 debtors is decreased by aggregate to Rs. 1320.03 lacs during 15 days whereas amount realised in bank statement during 15 days is Rs. 464.89 lacs only.
- On the analysis of stock statement of March '12, it has been perceived that outstanding balance of 99 debtors increased aggregate to Rs. 2367.98 lacs as compared to previous month whereas company has reported total sales in March '12 is Rs. 1988.97 lacs only.
- Similarly outstanding balance of 57 debtors reported in April '12 is increased aggregate to Rs. 1580.30 lacs as compared to previous month whereas company has reported total sales in stock statement of April '12 is Rs. 1463.92 lacs only.
- Further it has been observed from list of debtors duly certified given in 31.03.2014 that there are 104 new parties (debtors) consisting Rs. 1227.84 lacs as on 31.03.2014, outstanding balance of these debtors has not been reported by company earlier in 3 financial years.
- Outstanding balance of debtors in the month November '13 is Rs. 4200.92 lacs whereas total realisation received by the borrower is only Rs. 6.33 lacs in the following two years.
- Further realisation from debtors calculated according to stock statements during January '13, April '13, May '13, June '13, July '13, October '13 & November '13 is Rs. 10749.67 lacs whereas actual realisation received in bank during aforesaid period is only Rs. 2696.05 lacs.
- Moreover 17 debtors and 13 creditors have not filed their financial statements with Registrar of Companies (ROC) and complied with section 137 of the Companies Act, 2013. Further few entities reported as debtors of the company has not been found on MCA Portal.
- It has been observed that 40 entities has been reported as debtors and as well as creditors of the company in different months.
- Company has reported total purchases of RMD-II unit is Rs. 18076.07 lacs and Rs. 12831.19 lacs for the financial year 2011-12 & FY 2012-13. It has been decreased by 29.02% as compared to previous year whereas purchases of Supreme Alloys limited (all units) is increased by 17.91% for the same period.



- From the analysis of stock, it has been noticed that 3 products (HSD TMT Bar, Stores and Spares and Ingots) consist more than 90% portion of stock of RMD-II unit of the company during current audit period.
- It has been observed that outstanding balance of sundry creditors of company as a whole is in increasing nature while balance of sundry creditors of RMD-II unit of the company is decreased after year ended March'2012.
- Further outstanding balance of a number of creditors remained static for over a period of time (Refer page no.56 of report). Moreover outstanding balance of sundry creditors in the range of INR 100 to 250 lacs only, whereas the range of monthly outstanding balance of sundry debtors is INR 2500 lacs to 4000 lacs.
- It has been analysed that outstanding balance of sundry creditors have been diminished in next month without any payment from bank to such parties. (List of 30 parties detailed on page.no. 58 of report).
- Further payment to creditors calculated according to stock statements during January'13, April'13, May'13, June'13, July'13, October'13 & November'13 is Rs. 10126.56 lacs whereas actual payment through PNB during aforesaid period is only Rs. 1757.91 lacs.
- From analysis of bank statement, it has been analysed that substantial amount of payment are made to few parties during current audit period, which are not identified as the creditors of the company. Nature of transaction with these parties were not identified due to non-availability of data as earlier mentioned in the limitations. (Refer page no. 63)
- Total debit summations from November'13 to July'18 is Rs. 13464.80 lacs whereas credit summations for the said period is Rs. 13329.19 lacs. More than 99% entries represent bank interest, bank charges, loan processing charges, reversal entries and insurance charges.
- Further Sales realisation and payment to suppliers routed through PNB in FY. 2011-12, 2012-13 and 2013-14 has been detailed as under:

Trade Payables:

(INR in lacs)

Particulars	FY 2011-12	FY 2012-13	FY 2013-14
Total payment to Suppliers as per stock statement	17,985.81	12,889.60	11,098.28
Total payments to parties routed through PNB	16,900.92	12,813.13	2,093.58
In terms of %	93.97%	99.41%	18.86%

Trade Receivables:

(INR in lacs)

Particulars	FY 2011-12	FY 2012-13	FY 2013-14
Total Sales Realisation as per-	19,014.57	15,245.85	13,558.09



Trade Receivables:

(INR in laacs)

Particulars	FY 2011-12	FY 2012-13	FY 2013-14
Total Sales Realisation as per stock statement	19,014.57	15,245.85	13,558.09
Total receipts routed through PNB	16,522.58	13,289.56	2,570.74
In terms of %	86.89%	87.17%	18.96%

- It has been observed that 86.89% & 87.17% of total sales realisation received in PNB in FY 2011-12 & 2012-13 respectively. Whereas it has been reduced to 18.96% only in FY 2013-14. Further 93.97% and 99.41% of total payment made to suppliers, routed through PNB in FY 2011-12 and 2012-13 respectively. Whereas it has been reduced to 18.86% only in FY 2013-14.
- Further 6 companies are registered at same office address of Supreme Alloys Limited.
- Therefore, on the basis of the documents/information obtained from Punjab National Bank only and other available resources and, subject to limitations mentioned in 'Limitations' section and non-cooperation and non-availability of documents/information from partners' management of the borrower company and, non-compliance of terms of sanction, nominal realisation of debtors outstanding as of November'13, wide difference in receipt and payment derived from stock statements and actual receipt and payment through PNB in FY 2013-14, major Sales realisation and Payment to suppliers routed outside through PNB in FY 2013-14 infers that borrower has diverted funds.

28. That it is most respectfully submitted that when the Bank appointed forensic Auditor has contacted the Company Accused no. 1, by email dated 04.12.2018 for getting their stand/necessary information for completion of Forensic Audit, accused no. 2 Sh. Jagjiv Kumar Arora strongly protested vide his registered letter dated 15.12.2018 under copy to the Forensic Audit Firm and threatened the Bank to withdraw the forensic Audit in the accounts and that he will take legal recourse otherwise.

29. The Borrower approached High Court and file a Writ Petition Vide No.9446/2019, in the said WP (C) High Court instructed not to take any Coercive measure. The said W.P. was disposed off vide order dt: 25.04.2023 in light of Apex Court Order dt:27/03/2023 in Civil Appeal No.7300/2022, wherein it was directed by the Hon'ble



of Hearing in In pursuance of Apex Court Order in Civil Appeal No .7300/2022. Party was given Show cause Notice dated 21.11.2023. However reply of the Borrower/Guarantor dated 05.12.2023 was not found Satisfactory and hence account was declared as Fraud on 15.03.2024.

30. Roles of CA, Statutory auditors ,stock auditors ,Empaneled valuer etc may please be investigated separately .

31. In view of the above facts it is apparent that Accused No.1 to 3 as well as their agents, servants and some unknown public servants in connivance with one another with their dishonest intentions entered into the criminal conspiracy and have unauthorized sold or/and disposed off the stocks as above said, duly hypothecated to the Complainant Bank and also misappropriated the proceeds thereof and thereby criminally breaches the trust, cheated and defrauded the Complainant Bank to the tune of Rs. 74,63,51,887.22 as on 30.09.2015. The accused intended to cheat/defraud the Bank since inception, which is clearly evidenced by the facts narrated in the FIR.

32. That it is most respectfully submitted that the Accused persons have committed the criminal breach of trust and misappropriated the aforesaid hypothecated goods and usurped the value of goods. The hypothecated goods are not in the nature of perishable and value the aforesaid hypothecated goods have been increasing day by day.

33. That the Accused persons have defrauded the Complainant Bank and siphoned of the public fund through some other channels with criminal intention and



conspiracy. The fraud was detected on 29.10.2016 and this was reported to RBI on FRMS-FMR I on 19.11.2016. Further the modus operandi of the Accused persons for usurping public money and inflicting loss to the public exchequer and disposal of the hypothecated goods are amounting to criminal act and same is liable to be prosecuted under criminal law.

34. In view of the aforesaid facts and circumstances it is therefore most respectfully requests you to investigate the aforesaid matter and appropriate action be taken against the Accused person(s) and register an FIR for cheating, criminal breach of trust, misappropriation etc. the relevant provision of the Bhartiya Nyaya Sanhita (BNS). Thorough investigation be made and the culprits be brought to book and they be proceeded against as per law so that the public money involved can be recovered. All the information and relevant documents, available with the bank are in safe custody and shall be provided as and when required for the purpose of investigation.

Thanking You,

Yours faithfully,
कृते पंजाब नेशनल बैंक / Punjab National Bank

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